

Price rise after right bottom. Price should rise up to the confirmation price without first making a third bottom.

Volume. The volume chart for double bottoms usually shows the highest volume occurring on the left bottom. Diminished volume appears on the right bottom, and the volume trend of the overall chart pattern is downward.

None of these are absolute rules. Sometimes volume is highest on the right bottom instead of the left. Don't discard a chart pattern because of an unusual volume pattern.

Breakout direction. All double bottoms break out upward by definition. If they don't, then they are not double bottoms. What is a breakout? It happens when the stock closes above the highest peak between the two bottoms.

Confirmation. The confirmation point is the same as the breakout price. It's the highest high between the two bottoms. It's when squiggles on a price chart become a valid double bottom.

Why wait for confirmation? In a study I did, I found that 48% of the time price broke out downward from a twin bottom pattern instead of confirming it as a valid double bottom. Thus, if you buy before confirmation, on average, you'll likely lose money nearly half the time.

Now that you know what a double bottom looks like, let's discuss how to separate the bottoms into their proper Adam or Eve category.

[Figure 29.3](#) shows another example of an Eve & Eve double bottom but one harder to identify. Both bottoms have a one-day downward spike, which is more typical of an Adam bottom. However, as your gaze moves up, the bottom widens. If you were to shave off that one day's growth, you would have a rounding turn on both bottoms. Adam bottoms are narrower and usually taller. Adam bottoms often have price spikes (one or two), but they are longer than what you see on Eve bottoms.

A good example of an Adam bottom occurs in December when price plunges downward for three days. The bottom looks narrow and pointed, not wide and rounded. Notice the difference between the Adam and Eve bottoms.

When trying to determine whether the double bottom has Adam or Eve components, ask yourself if the two bottoms look similar (Adam & Adam